

1932, 1949, 1966 and 1982. As an important aside, the bottoming of this cycle in October 1966 explains why some stocks (secondary stocks in 1968 and blue chips in 1973) made new highs during the first seven years of the Cycle wave IV correction.

The 16-20-year cycle currently in progress is now 13 years old and is due to bottom in 1998-2002. As the April 1983 Special Report noted in support of this conclusion, "The very regular recurrence of turning points at 16.6-16.9-year intervals (see the bottom of Figure 3-2) projects 1999 for the next turning point." The projected low in 2003 for the larger Kondratieff cycle could force a longer subcycle this time, as noted in Figure B-9.

As that chart suggests, the stock market is at the end of both the Kondratieff cycle and its third harmonic subcycle, suspended high in the air like a cartoon character that has run off a cliff but has yet to realize it. Those who after 1987 wanted a "second chance" to sell at good prices are getting it. With the new bullish mood, however, few are acting.

THE BENNER-FIBONACCI CYCLE

Elliott Wave Principle presented a unique timing device based upon Samuel Benner's cyclic discoveries but modified to fit the behavior of the stock market. It projected a high in 1983, a major low in 1987, and a high in 1991. The 1983 high in the S&P 500 preceded a year-long 16% drop in the averages and marked the peak in one-year upside momentum for the 1980s' bull market and the end of relative strength for secondary stocks. The crash in 1987, of course, fit the projection for a major low due that year. The cycle high that was due in 1991 produced a peak in the upside rate of change, just as did 1983.

Now let's update these cycles. As you can see by the schematic in Figure B-10, the next cycle low is due in 1995. This projection precisely fits the most powerfully indicated Fibonacci year of the decade, but all indications discussed in Chapter 4 call for a *high* in 1995. There is a precedent for this coincidence. The last time that Fibonacci time counts pointed to a high (see Chapter 4) in the same year that the Benner-Fibonacci cycle pointed to a low was 1987. The result was both a high *and* a low, with an intervening crash of record proportion. The identical setup this year implies a crash for 1995. The difference is that the expected top this year is three degrees larger than the Primary degree top of 1987, so any crash might be correspondingly larger. This potential is irrelevant both to the overall